What Drives Income Shifting by Multinational Enterprises?

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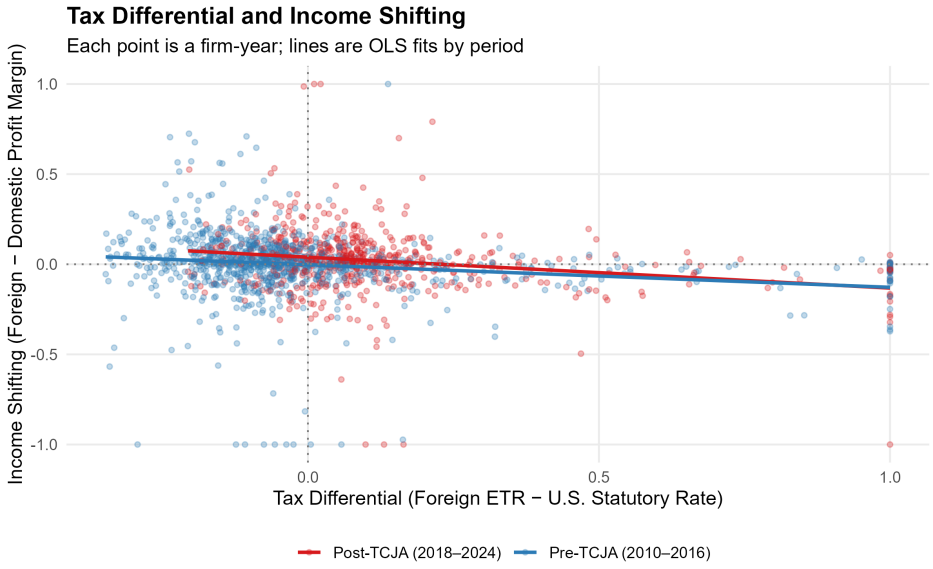
Introduction

- Multinational enterprises (MNEs) can shift profits between domestic and foreign jurisdictions to minimize taxes
- The Tax Cuts and Jobs Act (TCJA) of 2017 reduced the U.S. corporate rate from 35% to 21%
- **Research question:** What firm-level characteristics drive income shifting, and did the TCJA reduce the incentive to shift?



Data

- **Source:** WRDS Compustat (Fundamentals Annual + Geographic Segments)
- Sample: 1,553 firm-year observations from 346 U.S. MNEs (2010–2024, excluding 2017)
- **Dependent variable:** Income shifting = foreign profit margin − domestic profit margin
- **Key independent variables:**
  - Tax differential (foreign − domestic effective rate)
  - Worldwide profitability
  - Firm size, leverage, R&D intensity, advertising intensity, PPE intensity
  - Post-TCJA indicator and year trend
- Fiscal year 2017 excluded due to TCJA transition effects

Methods

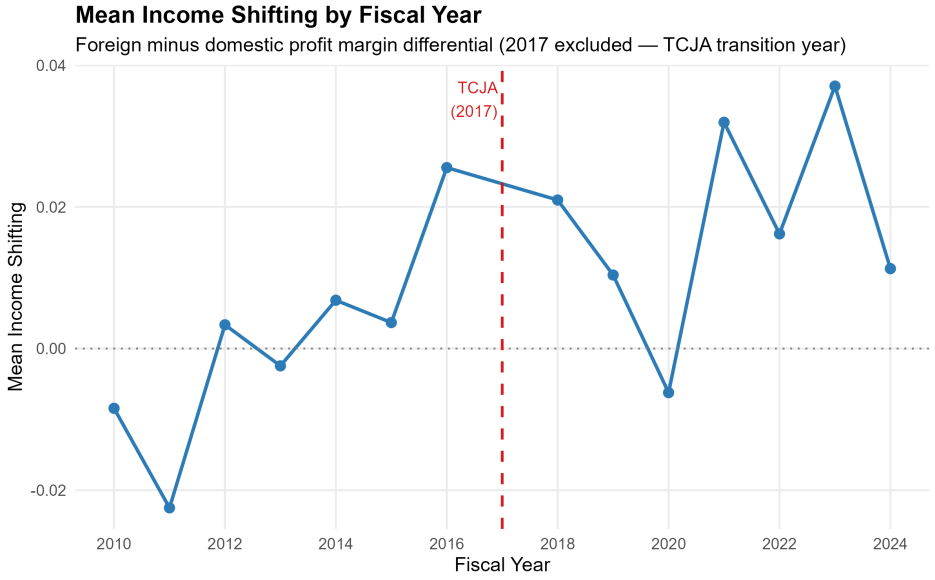
- OLS regression with robust (HC0) standard errors:

$$\text{income_shift}_{it} = \beta_0 + \beta_1 \text{tax_diff}_{it} + \beta_2 \text{ww_profit}_{it} + \boldsymbol{\beta}\mathbf{X}_{it} + \varepsilon_{it}$$

- Progressive specifications:
  - Model 1: Baseline with all controls
  - Model 2: Year fixed effects
  - Model 3: TCJA interaction terms
  - Model 4: Industry (2-digit SIC) fixed effects
- Sensitivity analysis excluding ambiguous geographic segments (995 obs)

Findings

- Tax differential: $\hat{\beta} = -0.162$ ($p < .0001$) — higher foreign tax rates reduce outward shifting
- Worldwide profit: $\hat{\beta} = -0.469$ ($p < .0001$)
- Leverage: $\hat{\beta} = 0.086$ ($p < .0001$)
- Ad intensity: $\hat{\beta} = 0.231$ ($p = .012$)
- Firm size: $\hat{\beta} = 0.005$ ($p = .049$)
- Adjusted $R^2 = 11.61\%$



What Did We Learn?

- Tax differentials are the strongest driver of income shifting — a 1 pp increase in the foreign-domestic tax gap reduces shifting by 0.16 pp
- Larger, more leveraged firms with higher advertising intensity shift more income abroad
- Post-TCJA coefficient is positive but insignificant — no clear evidence the reform reduced shifting
- **Policy implication:** Statutory rate cuts alone may not curb profit shifting; enforcement and base-broadening measures may also be needed
- **Limitations:** Compustat geographic segments may not capture all shifting channels; excludes financial firms